



Income Tax Department

Ministry of Finance, Government of India

Power to make exemption, etc., in relation to participation in business of prospecting for, extraction, etc., of mineral oils.

527. (1) If the Central Government is satisfied that it is necessary or expedient in the public interest, it may, by notification, make an exemption, reduction in rate, or other modification of income-tax for any class of persons specified in sub-section (2) or in regard to the whole or any part of the income of such class of persons or the status in which such class of persons or the members thereof are to be assessed on their income from the business referred to in sub-section (2)(a), effective from tax year beginning on or after 1st April, 1992.

(2) The persons referred to in sub-section (1) shall be the following:—

- (a) persons with whom the Central Government has entered into agreements for the association or participation of that Government, or any person authorised by that Government in any business of prospecting for or extraction or production of mineral oils;
- (b) persons providing any services or facilities or supplying any ship, aircraft, machinery or plant (whether by sale or hire) for any business consisting of the prospecting for or extraction or production of mineral oils carried on by that Government, or any person specified by that Government by notification; and
- (c) employees of the persons referred to in clause (a) or (b).

(3) Every notification issued under this section shall be laid before each House of Parliament.

(4) For the purposes this section,—

- (a) "mineral oil" includes petroleum and natural gas;
- (b) "status" means the category of person as defined in section 2(77) under which the assessee is assessed.

